

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

John is a Hong Kong resident, holder of Hong Kong identity card and HKSAR passport, he has been carrying on the sole proprietorship business of providing personal financial planning service to high-net-worth individuals in Hong Kong for years. John earns professional fee income, after deducting the expenses for home office and business travels (including those for mainland China – see below), the profit thereto has been reported to the Inland Revenue Department ("IRD") in his Tax Return – Individuals as subject to profits tax for all past years.

Starting from the year of assessment 2016/17, John also provides personal financial planning service to high-net-worth individuals in Northern part of China, the services are all provided in mainland China including meeting at hotel business centre and material preparation in hotel room. John receives professional fee income from these Chinese clients in RMB cash after the final meeting with clients, the cash is brought back to Hong Kong by John, converted to Hong Kong dollar at money exchange shop in Tsim Sha Tsui, and deposited to his bank account in Hong Kong. On average John can earn service fee of over RMB200,000 for each professional engagement, none of his Chinese clients has ever exercised any tax withholding on payment of the fee to John.

Due to the COVID-19 travel restrictions, the above Chinese business mode has changed since the year of assessment 2019/20. Meeting with Chinese clients can only be done online, meaning John has to use his computer at home in Hong Kong to "virtually" meet his clients, meeting materials are also prepared at home in Hong Kong. The professional fee income from Chinese clients is received by John in cryptocurrency via his digital wallet maintained outside Hong Kong, the cryptocurrency is converted to Hong Kong dollar and transferred to his Hong Kong bank account from time to time.

Recently, John met Peter who claimed himself to be an online professional tax advisor. After learning about the tax background of John, Peter has suggested the following tax planning ideas to John:

- (1) There is a basis to claim the professional fee income from Chinese clients as offshore on the basis that the service fees are (a) not received in Hong Kong dollar; and (b) are all received outside Hong Kong.
- (2) The professional fee income should not be subject to taxation in mainland China because John is a Hong Kong resident and the taxing right of such income falls on Hong Kong under "One Country, Two Systems" principle.
- (3) John should lodge an objection to the Assessor of the IRD against the notices of assessment for past years (which were all issued over 3 months from now) and claim a refund of the tax overpaid, together with interest and compensation for incorrect tax assessments issued.

- (4) The change of Chinese business mode should not affect the above offshore tax filing position on the basis that the change is caused by uncontrollable factors and the business mode will go back to normal once the COVID-19 travel restrictions are uplifted.
- (5) Going forward, John should exclude the offshore professional service income from Chinese clients from his income statement to file along with his Tax Return – Individuals in order to avoid unnecessary scrutiny from the IRD, the risk of detection by the IRD is low as long as he continues to receive the income in cash or cryptocurrency.
- (6) To take one step further, John should also ask his Hong Kong clients to pay his professional fee in foreign currency to his offshore bank account or cryptocurrency to his digital wallet outside Hong Kong, and then excludes such income from John's income statement. This will change the source of the professional fee income from Hong Kong clients to offshore, thus reducing John's Hong Kong tax liability.

Due to weak market condition, John's business has experienced a loss for the year of assessment 2021/22, per John's Tax Return – Individuals for 2021/22 filed to the IRD, there should be a refund of 2021/22 provisional tax overpaid of HK\$200,000.

Peter indicated he can assist John to lodge the offshore claim to the IRD, obtain the refund, interest and compensation from the IRD. The following is Peter's work plan:

- (a) Peter will put forward the most aggressive arguments to the IRD. If necessary, Peter can create the information and documents for John that can support the claim, such information and documents may not align with the facts.
- (b) Given the IRD normally only performs desktop review, the risk of detection of the above act is low.
- (c) Even if the IRD suspects the information and documents may be incorrect, the IRD cannot recover the tax undercharged once the notice of assessment has become final and conclusive, which is 1 month after the issue date of the relevant notice of assessment.

To facilitate a fast decision by John to engage Peter for his service, Peter has offered a discounted fee of HK\$100,000, payable only when the IRD has issued the 2021/22 tax refund notice, which serves as a confirmation by the IRD on the acceptance of the offshore claim.

John only communicates with Peter online via social media platform, and is feeling uncomfortable with his proposal; therefore, he has come to you for advice.

For the purpose of advising John, he is a Hong Kong tax resident as defined under the double tax agreement ("the DTA") between Hong Kong and mainland China and has obtained the Certificate of Residency from the IRD.

Question 1 (16 marks – approximately 29 minutes)

- (a) Based on the fact pattern in the case and from a Hong Kong tax perspective, state the rules for determination of the source of the professional fee income, and further advise whether you are in agreement with Peter's comments (with reason to support) on the analysis and conclusion for the source of professional fee income from Chinese clients, before and after the change in Chinese business mode.
(6 marks)
- (b) Suggest 6 pieces of information and documentary evidence that should be provided by John in support of the offshore claim on professional fee income from Chinese clients.
(6 marks)
- (c) In light of the provisions in the DTA and the Inland Revenue Ordinance ("IRO"), advise John whether the above information and documents can be transmitted by the IRD to the Chinese tax authority.
(4 marks)

Question 2 (13 marks – approximately 24 minutes)

- (a) Comment on the validity of Peter's assertion that under the "One Country, Two Systems" principle, only Hong Kong has the taxing right on the professional fee income from Chinese clients.
(4 marks)
- (b) In the context of fixed place permanent establishment ("PE") and service PE, discuss and determine whether John's business has maintained a PE in mainland China, as defined under the DTA.
(5 marks)
- (c) In the context of income taxation, expense deduction and applicable tax rate, describe how the income tax liability of John's business in the mainland China should be ascertained in accordance with the DTA, in the event that he has maintained a PE in China.
(4 marks)

Question 3 (8 marks – approximately 13 minutes)

In the context of the provisions in the IRO, explain whether the IRD will entertain the requests for tax refund, interest and compensation as suggested by Peter's idea number (3) if lodged by John.

Describe the proper approach to achieve the objective of getting the tax refund for the tax overpaid by John.

Determine and explain whether Peter's idea numbers (5) and (6) are acceptable from a Hong Kong profits tax return filing perspective.

(8 marks)

Question 4 (13 marks – approximately 24 minutes)

(a) In light of the Assess First and Audit Later tax assessing practice of the IRD and by reference to the provisions in the IRO, explain to John why the issuance of the tax refund notice for the year of assessment 2021/22 is not a good indicator of the acceptance of the offshore claim on the professional fee income by the IRD.

(6 marks)

(b) Identify and explain to John your concerns about the work plan (a) to (c) suggested by Peter in dealing with the offshore claim application to the IRD, in light of the penalty provisions in the IRO.

(7 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (11 marks – approximately 20 minutes)

Mr Smith is an American and does not have a Hong Kong permanent identity card. His wife, Mrs Smith, is a Hong Kong permanent resident.

On 1 April 2020, Mr Smith and Mrs Smith (collectively known as "the Couple") signed a provisional agreement for sale and purchase ("PASP") to jointly purchase from a developer a residential property, namely Flat 6A of Hillside Mansion ("Flat 6A") at a consideration of HK\$6,500,000. On the same date, the Couple signed another PASP to jointly purchase Flat 6B of Hillside Mansion ("Flat 6B") at a consideration of HK\$6,000,000. Each of them was acting on his/ her own behalf at the time of acquisitions of Flat 6A and Flat 6B and did not own any other residential property in Hong Kong at the time immediately before purchase of Flat 6A. On 1 September 2020, Flat 6A and Flat 6B were assigned to the Couple.

Flat 6A and Flat 6B were renovated to be one adjoining flat. On 30 April 2021, the Couple signed a PASP to sell Flat 6A and Flat 6B at a consideration of HK\$17,000,000.

The Couple received enquiries relating to purchases and sales of Flat 6A and Flat 6B and a Profits Tax Return from the IRD. The Couple claimed that their intention of purchasing Flat 6A and Flat 6B was to use them as their home and the gain on disposal of Flat 6A and Flat 6B was capital in nature and not chargeable to Profits Tax. The Couple's friend, Mr Chan, was a sole proprietor of an accounting firm. The Couple approached Mr Chan for tax advisory services. Mr Chan was also the lender of fund to the Couple for financing down payments of Flat 6A and Flat 6B. The message from the Couple to Mr Chan said, "Please assist us. If the IRD accepts our claim, you will surely get more than expected at the time of repayment of the loan due to you. We can always construct whatever information which is in favor of our claim per your request".

Required:

- (a) Assuming the stated considerations and the market values of Flat 6A and Flat 6B at different points in time were always the same, with reference to relevant provisions of the Stamp Duty Ordinance, analyse the stamp duty exposure (i.e. ad valorem stamp duty, buyer's stamp duty and special stamp duty) in connection with the acquisitions and sales of Flat 6A and Flat 6B; and compute the stamp duty liabilities, if any. (7 marks)
- (b) Analyse the ethical considerations Mr Chan should be aware of in providing the tax advisory services to the Couple. (4 marks)

Question 6 (11 marks – approximately 20 minutes)

Following Question 5, other information relating to the property transactions of Flat 6A and Flat 6B is as follows:

- (i) Mr Smith was seconded to work in Hong Kong for one year only and had to return to the United States ("US") after the secondment. On 20 March 2020, his application for bringing Mrs Smith to live in the US was approved.
- (ii) The down payments of Flat 6A and Flat 6B were financed by a personal loan from a bank obtained by Mrs Smith and borrowings from the Couple's friend, Mr Chan, which were both repayable by 24 installments. The remaining balance of the purchase prices was financed by a mortgage loan from a bank.
- (iii) The Couple's total monthly income was HK\$90,000. The total amount of monthly repayment for the personal loan, loan from Mr Chan and mortgage loan was HK\$80,000.
- (iv) Immediately after the completion of renovation, the Couple appointed Cuteline Property Agent and offered Flat 6A and Flat 6B for sale. The advertisement said, "A rare 4-bedroom flat with garden view".
- (v) According to the records of Cuteline Property Agent, the asking price of Flat 6A and Flat 6B was changed by the Couple eight times, ranging from HK\$14,500,000 to HK\$17,500,000 from 1 November 2020 to 31 March 2021.

Required:

With reference to relevant provisions of the IRO and legal principles, evaluate the potential profits tax liabilities of the Couple in respect of the gain on disposal of Flat 6A and Flat 6B, based on the information available to you.

(11 marks)

Question 7 (16 marks – approximately 29 minutes)

Ms Law has been employed by H&H Bank Limited ("the Employer") as Head of Finance since 1 April 2015. Her employment contract with the Employer provided, among others, that one month's written notice or payment in lieu was required by either party for termination of Ms Law's employment. Ms Law would be enrolled in the mandatory provident fund ("MPF") scheme. The Employer's voluntary contributions under MPF would be fully vested after three years of service. Ms Law was also entitled to participate in the Employer's share plans, under which share awards would be vested at the end of the vesting period. The IRD has agreed that "Back End" approach should be adopted in assessing the share awards.

On 31 December 2019, due to restructuring, the Employer informed Ms Law that she was terminated by the reason of redundancy with immediate effect. On the same date, the Employer and Ms Law entered into a separation agreement ("the Separation Agreement") that the parties agreed on, among others, the following:

- (i) Ms Law's last date of employment was 31 December 2019.
- (ii) within seven days from the date of the Separation Agreement, the Employer would pay the following sums in full and final settlement of any and all contractual and statutory or other entitlements that Ms Law had, or might have, from the Employer relating to the termination:
 - the payment in lieu of notice of HK\$120,000 ("Sum A") (i.e. her last month's base salary);
 - the payment of HK\$360,000 ("Sum B") which restricted Ms Law from being employed by other banks for three months immediately after the date of termination;
 - as Ms Law's employment ceased due to redundancy, according to the share plans rules, any unvested share awards which had been awarded to Ms Law would be vested on the original vesting dates, notwithstanding that she would not be in employment on the vesting dates.

The accrued benefit attributable to the Employer's voluntary contribution retained in Ms Law's MPF scheme account on 31 December 2019 was HK\$400,000 ("Sum C"). 10,000 shares were vested to Ms Law on 31 March 2021 and the value of shares vested was HK\$40,000 ("Sum D").

Ms Law claimed that Sums A to D were compensation for her loss of employment and should not be chargeable to Salaries Tax.

Required:

Assuming you are Betty Wong, Ms Law has appointed you as her tax advisor. Write a memo to Ms Law to analyse, with reference to the relevant provisions of the IRO and legal principles, whether Sums A, B, C and D should be chargeable to Salaries Tax. Also, in respect of each chargeable sum, specify the chargeable amount and the timing of assessment.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.
(16 marks)

Question 8 (12 marks – approximately 21 minutes)

ML Health and Beauty Consulting Limited ("ML") is a company incorporated in Hong Kong engaging in wholesale of skin care products and provision of skin care treatments. Mr Mo and Ms Leung were ML's shareholders in equal shares and directors. They do not have any other businesses in Hong Kong.

ML's gross profits for the years ended 31 March 2019 and 31 March 2020 were \$5,000,000 and HK\$3,000,000 respectively. Its operating and administrative expenses for the years ended 31 March 2019 and 31 March 2020 were HK\$2,000,000 and HK\$1,500,000 respectively. Apart from the operating and administrative expenses, ML also incurred the following expenditure/ expenses:

Year ended 31 March 2019

- (i) On 1 April 2018, ML borrowed a loan of HK\$2 million from K&K Bank in Hong Kong at 5% per annum to finance the expansion of business. The loan was secured by a fixed deposit of HK\$3 million at 3% per annum placed by Mr Mo with K&K Bank.
- (ii) ML opened a new skin care centre in Causeway Bay and the renovation expenses were HK\$1,000,000. The renovation expenses of the existing Tsim Sha Tsui centre were HK\$500,000.

The loan and renovations in items (i) and (ii) subsisted as at 31 March 2020.

Year ended 31 March 2020

- (iii) ML's business was severely affected due to COVID-19 pandemic. ML decided to close the Shatin centre. ML paid a sum of HK\$1,200,000 to the suppliers to cancel a purchase contract of facial machine and equipment, and a sum of HK\$1,000,000 to cancel a purchase contract of skin care products.
- (iv) ML purchased a life insurance policy for Mr Mo with ML as the beneficiary. The insurance premium was HK\$600,000.

Required:

- (a) **Compute the profits tax liabilities of ML for the years of assessment 2018/19 and 2019/20. ML elected and was eligible for two-tiered profits tax rates. Please ignore the waiver of profits tax and provisional tax.**
(7 marks)
- (b) **With reference to the relevant provisions of the IRO and the legal principles, provide explanatory notes on the tax treatments of the items (iii) and (iv).**
(5 marks)

* * * **END OF EXAMINATION PAPER** * * *